

NTCA BENEFITS

THE RURAL BROADBAND ASSOCIATION

ANNUAL FUNDING NOTICE

For The Retirement & Security Program For Employees
of NTCA and its Members

Introduction

This notice includes important information about the funding status of your pension plan ("the Plan"). It also includes general information about the benefit payments guaranteed by the Pension Benefit Guaranty Corporation ("PBGC"), a federal insurance agency. All traditional pension plans (called "defined benefit pension plans") must provide this notice every year regardless of their funding status. This notice does not mean that the Plan is terminating. It is provided for informational purposes and you are not required to respond in any way. This notice is required by federal law. This notice is for the plan year beginning 1/1/2024 and ending 12/31/2024 ("Plan Year").

How Well Funded is Your Plan

The law requires the administrator of the Plan to tell you how well the Plan is funded. The Plan is a Cooperative and Small Employer Charity (CSEC) plan. Different funding rules apply to CSEC plans than apply to single-employer plans. The Department of Labor ("DOL") has yet to prescribe specific rules or any model notice for CSEC plans, based on the minimum funding rules that actually apply to such plans, to use in preparing this notice. In addition, section 343 of the SECURE 2.0 Act of 2022 changed certain requirements for the Annual Funding Notice effective for 2024 plan year, but the DOL has yet to provide guidance on these changes. Accordingly, this information reflects the Plan's understanding of the applicable rules taking into account the available guidance.

The chart below shows the end of year assets and liabilities for the Plan Year and each of the two preceding plan years based on CSEC rules.

Year-End CSEC Funded Percentage

Plan year beginning in	2024	2023	2022
1. Measurement Date	12/31/2024	12/31/2023	12/31/2022
2. Plan Assets ¹	\$2,049,974,098	\$1,876,864,580	\$1,845,294,862
3. Plan Liabilities ²	\$2,369,764,258	\$2,324,512,248	\$2,304,351,193
4. Percentage of Liabilities Funded: (2)/(3)	86.51%	80.74%	80.08%

Plan Liabilities

The amounts shown on line 3 of the chart above is an estimate of the amount of assets the Plan needs on the Valuation Date to pay for promised benefits under the Plan.

¹ Unaudited Fair Value of Assets from the February 2025 Trust Committee Manual.

² The estimated December 31, 2024, liabilities are based on January 1, 2024, census data, the Plan's 7.50% funding interest rate, and actual benefit payments (from the unaudited asset statements) made during 2024.

Participant Information

The total number of participants and beneficiaries covered by the Plan on the valuation dates for 2022, 2023 and 2024 were as follows.

Plan year beginning in	2024	2023	2022
1. Current Employees	9,854	9,913	10,577
2. No Longer Working for the Employer and Have a Right to Future Benefits	3,679	3,705	3,473
3. Retired and Receiving Benefits	2,741	2,651	2,585
4. Total Participants	16,274	16,269	16,635

Funding & Investment Policies

Every pension plan must have a procedure to establish a funding policy for plan objectives. A funding policy relates to how much money is needed to pay promised benefits. The funding policy of the Plan is to provide for contribution levels intended to be sufficient to meet minimum funding requirements as set forth in applicable law plus such additional amounts as may be appropriate.

Pension plans also have investment policies. These generally are written guidelines or general instructions for making investment management decisions. The investment policy of the Plan is to invest in a mix of equity, fixed income, and real asset investments subject to target allocations. The target allocation of equity investments is 48%. The target allocation of fixed income investments (including cash) is 32%. The target allocation of real asset investments is 20%.

Under the Plan's investment policy, the Plan's assets were allocated among the following categories of investments, as of the end of the Plan Year. These allocations are percentages of total assets:

Asset Allocations	Percentage
Stocks	48%
Investment grade debt instruments	21%
High-yield debt instruments	10%
Real Assets	20%
Other	1%

The actual return on assets for the year ending December 31, 2024, was 9.56%.

Right to Request a Copy of the Annual Report

Pension plans must file annual reports with the US Department of Labor. The report is called the "Form 5500". These reports contain financial and other information. You may obtain an electronic copy of your Plan's annual report by going to www.efast.dol.gov and using the search tool. Annual reports also are available from the US Department of Labor, Employee Benefits Security Administration's Public Disclosure Room at 200 Constitution Avenue, NW, Room N- 1513, Washington, DC 20210, or by calling 202-693-8673, or you may obtain a copy of the Plan's annual report by making a written request to the plan administrator. Annual reports do not contain personal information, such as the amount of your accrued benefits. You may contact your plan administrator if you want information about your accrued benefits. Your plan administrator is identified below under "Where To Get More Information".

Summary of Rules Governing Plan Termination

NTCA is the plan sponsor for the Plan. The NTCA Board of Directors is the only body that is authorized to terminate the Plan. Participating employers may cease participation in the Plan with appropriate advance notice to the plan administrator and affected employees.

There are two ways a plan sponsor can terminate its pension plan. First, the plan sponsor can end the plan in a “standard termination” but only after showing the PBGC that such plan has enough money to pay all benefits owed to participants. Under a standard termination, a plan must either purchase an annuity from an insurance company (which will provide you with periodic retirement benefits, such as monthly, for life or for a set period of time when you retire) or, if the plan allows, issue one lump-sum payment that covers your entire benefit. Your plan administrator must give you advance notice that identifies the insurance company (or companies) selected to provide the annuity. The PBGC’s guarantee ends upon the purchase of an annuity or payment of the lump sum. If the plan purchases an annuity for you from an insurance company and that company becomes unable to pay, the applicable state guaranty association guarantees the annuity to the extent authorized by that state.

Second, if the plan is not fully-funded, the plan sponsor may apply for a distress termination. To do so, however, the plan sponsor must be in financial distress and prove to a bankruptcy court or to the PBGC that the participating employers cannot remain in business unless the plan is terminated. If the application is granted, the PBGC will take over the plan as trustee and pay plan benefits, up to the legal limits, using plan assets and PBGC guarantee funds.

Under certain circumstances, the PBGC may take action on its own to end a pension plan. Most terminations initiated by the PBGC occur when the PBGC determines that plan termination is needed to protect the interests of plan participants or of the PBGC insurance program. The PBGC can do so if, for example, a plan does not have enough money to pay benefits currently due.

Benefit Payments Guaranteed by the PBGC

When the PBGC takes over a plan, it pays pension benefits through its insurance program. Only benefits that you have earned a right to receive and that cannot be forfeited (called vested benefits) are guaranteed. Most participants and beneficiaries receive all of the pension benefits they would have received under their plan, but some people may lose certain benefits that are not guaranteed.

The amount of benefits the PBGC guarantees is determined as of the plan termination date. However, if a plan terminates during a plan sponsor’s bankruptcy, then the amount guaranteed is determined as of the date the sponsor entered bankruptcy.

The PBGC maximum benefit guarantee is set by law and is updated each calendar year. For a plan with a termination date or sponsor bankruptcy date, as applicable in 2025, the maximum guaranteed benefit is \$7,432 per month, or \$89,182 per year, for a benefit paid to a 65 year old retiree with no survivor benefit. If a plan terminates during a plan sponsor’s bankruptcy, the maximum guarantee is fixed as of the calendar year in which the sponsor entered bankruptcy. The maximum guarantee is lower for an individual who begins receiving benefits before age 65 reflecting the fact that younger retirees are expected to receive more monthly pension checks over their lifetimes. Similarly, the maximum guarantee is higher for an individual who starts receiving benefits from the PBGC after age 65. The maximum guarantee by age can be found on the PBGC’s website, www.pbqc.gov. The guaranteed amount is also reduced if a benefit will be provided to a survivor of a plan participant.

The PBGC guarantees “basic benefits” earned before a plan is terminated, which includes:

- pension benefits at normal retirement age;

- most early retirement benefits; and
- annuity benefits for survivors of plan participants.

The PBGC does not guarantee certain types of benefits:

- The PBGC does not guarantee benefits for which you do not have a vested right, usually because you have not worked enough years for the company.
- The PBGC does not guarantee benefits for which you have not met all age, service, or other requirements.
- Benefit increases and new benefits that have been in place for less than one year are not guaranteed. Those that have been in place for less than five years are only partly guaranteed.
- Early retirement payments that are greater than payments at normal retirement age may not be guaranteed. For example, a supplemental benefit that stops when you become eligible for Social Security may not be guaranteed.
- Benefits other than pension benefits, such as health insurance, life insurance, death benefits, vacation pay, or severance pay, are not guaranteed.
- The PBGC generally does not pay lump sums exceeding \$7,000.

In some circumstances, participants and beneficiaries still may receive some benefits that are not guaranteed. This depends on how much money the terminated plan has and how much the PBGC recovers from employers for plan underfunding.

For additional general information about the PBGC and the pension insurance program guarantees, go to the ‘General FAQs about PBGC’ on the PBGC’s website at www.pb.gc.gov/general_faqs. Please contact your employer or plan administrator for specific information about your pension plan or pension benefit. PBGC does not have that information. See “Where to Get More Information About In Your Plan”, below.

Corporate Information on File with PBGC

A plan sponsor must provide the PBGC with financial information about itself and actuarial information about the plan under certain circumstances, such as when the funding target attainment percentage of the plan (or any other pension plan sponsored by a member of the sponsor’s controlled group) falls below 80 percent (other triggers may also apply). The sponsor of the Plan, NTCA, has been subject to this requirement to provide corporate financial information and plan actuarial information to the PBGC. The PBGC uses this information for monitoring and other purposes.

Where to Get More Information

For more information about this notice, you may contact NTCA Benefits Resources at 30 Town Square Boulevard, Suite 300, Asheville, NC 28803, or by e-mail at rs@ntca.org or call 828-281-9000. For identification purposes, the official plan number is 333 and the plan sponsor’s name and employer identification number or “EIN” is National Telecommunications Cooperative Association 52-0741336.

Your Contact Information

To make sure you receive your benefits and any benefit communications pertaining to the Program, it is critical that you keep your contact information current. If you move after you terminate employment, please update your address information through our self-service website by visiting ntcabenefits.ntca.org or contacting NTCA Benefits Resources. You must also keep us updated with any changes to the following

information:

- your name and address;
- your beneficiary's name and address; and
- any other contact information maintained by the Program.

Keeping this information up to date will ensure that you (or your beneficiary) receive your benefit payments as well as any important Program communications without undue delay.